

DAY 2 | SMB Capital PlayBook Entry

· All Risk Tiers Available · Timeframe: Daily Identification / Intraday Execution

1. SETUP OVERVIEW

What This Setup Is

Yesterday, the stock had a big day. It might have broken out of an hourly or daily range and closed above it, or had a fresh news catalyst and traded with real volume and a strong close. Funds, Institutional desks, momentum players all were involved on day 1 creating the huge increase in volume. Big Players like this are not typically able to buy or sell their entire position in a single day, they would send the stock to the moon if they did that. So they tend to buy over the course of a few days, buying, then letting the stock come in a bit, buying more and then backing off. Your job as a Day 2 trader is simple: wait for the buyers to start buying again on day 2 and buy with them (selling for a bearish setup).

CORE INSTITUTIONAL INSIGHT

Large institutional buyers, or sellers create sustained directional movement that leaves footprints with larger than expected volume and range. The urgency to get into or out of a position is shown on day 1 when a news catalyst or a technical catalyst occurs and forces big players (funds, family offices, institutional players) to make trading decisions. Day 2 is a continuation of a process that didn't complete on day 1. That's the entire edge. You're not predicting where a stock will go, you are identifying where institution participants are highly motivated to keep buying (for a Bullish Day 2) or selling (for a Bearish Day 2). The trade is simple: located the levels the Big Players care about, wait for them to show up, and buy or sell along with them.

That is the entire setup. Everything that follows is just learning how to spot a real Day 1 and how to recognize the defense when it arrives.

2. THE 70/30 PRINCIPLE OF IDENTIFICATION

70% of identification work happens before the open. This is the qualification of Day 1 — the night before and during premarket. If you have not done this work, you cannot recognize a Day 2 in real time. 30% of identification work happens intraday on Day 2. This is recognizing whether the predicted players are actually showing up. You are not discovering on Day 2. You are confirming a thesis built the night before. You are not looking for setups on the open. You are confirming setups you already identified the night before.

3. DAY 1 IDENTIFICATION CRITERIA (THE 70%)

Day 1 identification is the primary skill this setup demands. A strong Day 2 trade is almost always preceded by a correctly identified Day 1. The evening scan and premarket review are where this setup is won or lost. There are 4 key criteria to use.

Required Day 1 Criteria

CRITERION	REQUIREMENT	HOW TO EVALUATE
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Move Size	Meaningful for the stock. We typically look for a stock that has traded more than 1 ATR.	Does this move break a key level, reverse from significant S/R, or extend beyond this stock's normal range? Not absolute percentage — contextual to the stock using ATR.
Volume	150%+ of recent ADV — required	Compare to 21-day average. Institutional participation confirmation. Below 150% = not a valid Day 1.
Close Location	Upper 25% of range (long) / Lower 25% (short)	Formula: (Close - Low) / (High - Low). Must be above 0.75 for longs, below 0.25 for shorts.
Catalyst	Not required — elevates conviction when present	Fresh news, earnings, analyst action, reversal, trendline break, breakout. Absence does not disqualify.
Day 2 Gap Open	Not required	A gap is a byproduct of a strong Day 1, not a requirement. The Day 1 move matters — not how Day 2 opens.

Day 1 Intraday Pattern Taxonomy

The intraday story of Day 1 informs what to expect from participants on Day 2. Three patterns exist, each producing different Day 2 aggressiveness.

PATTERN	DAY 1 CHARACTER	DAY 2 EXPECTED BEHAVIOR	NOTE
Morning Move / Afternoon Consolidation	Strong open. Price consolidates in upper/lower range through afternoon. Participants sitting on gains.	Orderly Day 2. Day 1 players step back in calmly at the level. Controlled test and clean continuation.	Most common pattern.
Afternoon Move	Move established later. Participants newer to position, less cushion, more vulnerable.	Day 2 consolidation should occur early in the session as more balance occurs prior to resumption of aggressive participation.	Requires patience to confirm defense before entry.
Reversal / Afternoon Trend	Clear trend established after 11 AM or noon. Most committed participants — reversed against prior trend or initiated late and aggressively.	Most aggressive Day 2 follow-through. These participants cannot afford to be wrong. Expect sharpest price action	Working hypothesis — requires further validation before formal tier assignment.

3. DAY 2 INTRADAY FRAMEWORK (THE 30%)

The Two Setup Types Within Day 2

TYPE	CHARACTER	WHAT IT LOOKS LIKE	Trade Taken
Clean Hold	Price opens above Day 1 level and consolidates without serious test.	Candles overlapping above level. No deep pullback. Level never truly challenged.	Opening Range Breakout High 5 Big Dawg Consolidation
Test and Response	Price pulls back into Day 1 level — sometimes sharply — then shows character change and continues.	Choppy selling brings price to level. One candle shows the shift. Selling stops. Buying takes over.	High Volume Support/Resistance, Red to Green Vwap Continuation

4. CONVICTION TIER FRAMEWORK

TIER	What Qualifies
Strong	All 3 core criteria + catalyst + pattern C (reversal/afternoon trend) Highest quality identification
Standard	All three core criteria + catalyst. Pattern A or B. Reliable Day 1 identification
Valid	All three core criteria, no catalyst, Structural significance must be unambiguous to compensate.
Marginal	Borderline Volume (100 or less or borderline close location OR weaker structural significance. Identify but treat with caution
Pass	Volume below 100% of ADV OR close outside top/bottom 25% OR no structural significance, Not a Day 1. Do not add to watchlist.

4. CONVICTION TIER FRAMEWORK

TIER	DAY 1 CRITERIA	RISK ALLOCATION	NOTES
A+	Catalyst + 150%+ ADV + upper/lower 25% close + reversal/afternoon trend Day 1 pattern	80% of daily stop	Working hypothesis on pattern tier. Requires further validation.
A	Catalyst + 150%+ ADV + upper/lower 25% close	30% of daily stop	Standard high conviction Day 2.
B	No catalyst but 150%+ ADV + upper/lower 25% close + meaningful structural move	15% of daily stop	Valid Day 2 without catalyst. Structure must compensate.
C	Borderline volume (120-150% ADV) or borderline close location or weaker structural significance	5% of daily stop	Minimum viable Day 1. Reduce size.
No Trade	Volume below 120% ADV or close outside top/bottom 25% or no meaningful structural move	0%	Day 1 does not qualify.

Context Modifiers

MARKET ENVIRONMENT	MODIFIER
Confirmed bull (SPY/QQQ above 21 EMA)	No adjustment — full tier available
Mixed (one index above, one below 21 EMA)	Subtract one tier
Correcting (both below 21 EMA)	Subtract two tiers
Bear (both in defined downtrend)	Long Day 2 setups avoided. Short Day 2 setups apply full rubric.

5. INVALIDATION — THE SINGLE RULE

THE ONE INVALIDATION RULE

If the first entry fails, we move on, we never try to trade this set up a second time. Many traders like this set up because of the clear expectations for the move, and the clear levels that can be identified from the day 1 price action. Often times this trade just makes sense.

Early Warning Signs Before Taking Any Trade

- ▶ Opening gap significantly above Day 1 highs — price may be extended before Day 2 starts
- ▶ Volume on Day 2 open dramatically lower than Day 1 — participants may not be present
- ▶ Broad market selling hard at open — context modifier may apply
- ▶ Character flip appears but immediately reverses — false flip, watch stop closely, do not add

8. SCANNING AND PREPARATION PROTOCOL

Evening Scan — Building the Day 2 Watchlist

- ▶ Screen for stocks with volume 150%+ of 21-day ADV on current day
- ▶ Filter for close in upper 25% (longs) or lower 25% (shorts) — formula: $(\text{Close} - \text{Low}) / (\text{High} - \text{Low}) > 0.75$ for longs
- ▶ Evaluate move size relative to prior structure — was this structurally significant?
- ▶ Identify catalyst if present — news, earnings, analyst action, technical break
- ▶ Classify Day 1 intraday pattern — morning consolidation, afternoon move, or reversal/afternoon trend
- ▶ Assign preliminary conviction tier based on Day 1 quality
- ▶ Mark key Day 1 levels: high, low, close, most significant intraday support
- ▶ Note Day 2 opening price threshold — this becomes critical the following day

Premarket Preparation

- ▶ Check overnight news — does the catalyst still hold?
- ▶ Note premarket price relative to Day 1 levels marked last night
- ▶ Assess broad market premarket — apply context modifier if needed
- ▶ Confirm stock still qualifies — overnight developments may invalidate
- ▶ Set alerts at key Day 1 levels before open

Alert Setup for Day 2

- ▶ Alert 1: Price approaching Day 1 key support level from above — begin watching
- ▶ Alert 2: First green candle after test of Day 1 level — primary Entry 1 trigger
- ▶ Alert 3: Price at or above Day 2 opening price — Entry 2 add trigger, watch for tape confirmation
- ▶ Alert 4: Price breaking above Day 1 high — momentum acceleration phase beginning
- ▶ Alert 5: Price breaking below the turn after first entry — invalidation signal, exit immediately

9. DECISION FLOW FOR AI

Step 1 (Evening): Run evening scan. Did this stock have 150%+ ADV volume, close in top/bottom 25% of range, on a meaningful structural move? If yes — add to Day 2 watchlist.

Step 2 (Evening): Classify Day 1 pattern. Morning consolidation, afternoon move, or reversal/afternoon trend? Assign preliminary conviction tier.

Step 3 (Evening): Mark key levels. Day 1 high, low, close, key intraday support. Note opening price threshold for Day 2.

Step 4 (Premarket): Check overnight news. Does catalyst still hold? Where is stock opening relative to key levels? Apply context modifier for broad market.

Step 5 (Open): Set alerts. Watch for approach to Day 1 key level or levels.

10. VOCABULARY GLOSSARY

TERM	DEFINITION
Day 2	Continuation setup capitalizing on momentum from a significant prior-day move. 70% Day 1 identification, 30% intraday execution.
The 70/30 Principle	70% of Day 2 work is identifying the right Day 1 the evening before. 30% is reading Day 2 intraday characteristics before committing.
Day 1	The prior session move that sets up Day 2. Must have: 150%+ ADV, close in top/bottom 25% of range, meaningful structural move.
Close Location Formula	$(\text{Close} - \text{Low}) / (\text{High} - \text{Low})$. Above 0.75 for Bullish Day 2 setups. Below 0.25 for Bearish day 2 setups.
The Test	Price approaching the key Day 1 level on Day 2. Expected, healthy, providing opportunity..
The Response	What happens immediately after the test. The response is the information we get after a good entry. We should see day 1 participants ?
The Character Flip	Transition from choppy selling to sustained buying at the Day 1 level. Candles stop overlapping, become directional. This is confirmation.
The Opening Price	Day 2 opening price as institutional reference level. Breaking and holding above it — especially when it aligns with Day 1 resistance — signals Day 1 players control the day.
Momentum Acceleration	Surge above Day 1 highs as sideline participants confirm the move and begin chasing. The payoff of the Day 2 trade.

